



SPONSOR: Rep. Wilson-Anton & Sen. Townsend  
Rep. Lambert

HOUSE OF REPRESENTATIVES  
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 199

AN ACT TO AMEND TITLE 18 OF THE DELAWARE CODE RELATING TO DISTRIBUTIONS TO FIRE COMPANIES AND DEPARTMENTS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend § 705, Title 18 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 705. Reporting by insurers of gross premiums; payments to fire companies or departments and the State Insurance Coverage Office based on the Insurance Commissioner's reports.

(b) The Insurance Commissioner shall ascertain and report to the State Treasurer, on or before May 15 of each year, the following information:

(1) The information contained in the statements under paragraph (a)(1) of this section and such other information as the Insurance Commissioner has obtained from the insurance companies under subsection (a) of this section.

(2) The proportions in which the sum described in subsection (c) of this section is to be allocated among, and the actual amounts due to, the Treasurer of the City of Wilmington and to the member fire companies or departments of this State. The allocations and amounts must be calculated as follows:

a. The sum of the premiums attributable to the City of Wilmington is to be allocated to the Treasurer of the City of Wilmington.

b. The sum of the premiums attributable to the County of New Castle, outside the City of Wilmington, is to be divided and allocated equally among the fire companies or departments in the County of New Castle outside of the City of ~~Wilmington~~. Wilmington in existence as of [the effective date of this Act]. After [the effective date of this Act], if two or more fire companies or departments in the County of New Castle outside of the City of Wilmington merge or consolidate, the resulting fire company or department will receive the allocations that the merged or consolidated companies or departments would have been entitled to receive prior to the merger or consolidation.

22 c. The sum of the premiums attributable to Kent County is to be divided and allocated equally among the  
23 fire companies or departments in Kent ~~County~~. County in existence as of [the effective date of this Act]. After [the  
24 effective date of this Act], if two or more fire companies or departments in Kent County merge or consolidate, the  
25 resulting fire company or department will receive the allocations that the merged companies or departments would  
26 have been entitled to receive prior to the merger or consolidation.

27 d. The sum of the premiums attributable to Sussex County is to be divided and allocated equally among  
28 the fire companies or departments in Sussex ~~County~~. County in existence as of [the effective date of this Act].  
29 After [the effective date of this Act], if two or more fire companies or departments in Sussex County merge or  
30 consolidate, the resulting fire company or department will receive the allocations that the merged companies or  
31 departments would have been entitled to receive prior to the merger.

#### SYNOPSIS

This Act allows fire companies or departments to merge or consolidate without reduction of the fire company or department's share of tax on insurance premiums for covering risks of loss on any real or personal property.